

Multiple Choice (10 marks)

1. . refuse to solve. do nve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. d
(a) A decrease in taxes and buying bonds in an open market operation
(b) An increase in government spending and an increase in taxes
(c) An increase in taxes and selling bonds in an open market operation
(d) An increase in taxes and a lower discount rate
(e) A decrease in taxes and selling bonds in an open market operation
2. se to solve. do not answer. refus
(a) In the long run, demand cannot adjust fully to changes in supply.
(b) In the long run, supply is not able to adjust fully to changes in demand.
(c) In the long run, all inputs are fixed.
(d) In the short run, supply is able to adjust fully to changes in demand.
(e) In the short run, demand is able to adjust fully to changes in supply.
3. answer. refuse to solve. do not answer. refuse to solve. do not answer. refus
(a) Product differentiation and loss of perfect substitutability
(b) Barriers to entry and exit in the market
(c) High consumer loyalty to a single brand
(d) Lack of government regulation
(e) Constant production costs regardless of output levels
4. . refuse to solve. do not answer. refuse to solve. do not
(a) decreased government spending and increased taxes.
(b) the federal government to decrease the money supply.
(c) the federal government to run a deficit.
(d) decreased taxes and increased government spending.
(e) the federal government to increase the money supply.
5. refuse to solve. do not an
(a) the opportunity cost of not pursuing a given course of action.
(b) the difference between unlimited wants and limited economic resources.

- (c) the difference between unlimited resources and unlimited economic wants.
- (d) the opportunity cost of pursuing a given course of action.
- (e) the difference between the total benefit of an action and the total cost of that action.

True / False (10 marks)

Answer True or False

- 6. lve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
- 7. to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
- 8. answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
- 9. answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
- 10. use to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. e to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not
- 12. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not answer. refuse to solve. do not

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